

Homework

Order Logit

Survey of Outlook of the Economy

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Why predicting PPP?

COICOP	MKD	2 mean salary	Ratio	Base	Chain
2020M01	31,169.67				
2021M01	32,101.33				
2022M01	32,084.67				
2023M01	32,084.67				
2024M01	35,099.33				

SSM	MKD	2 mean salary	Ratio	Base	Chain
2020M01	32,791.00				
2021M01	33,650.00				
2022M01	35,811.00				
2023M01	50,799.00				
2024M01	57,163.00				

Correlation Matrix

	B7_PPP_NOW
B6_WAGE_1M	0.29
B5_WAGE_NOW	0.39
B14_2_LOWERWAGE	-0.27
B14_1_WORK	-0.15
B3_ID_NOW	0.49
B4_ID_1M	0.33
B1_BG_NOW	0.27
B2_3_BG_12M	0.13
B14_9_NOBIGSHOP	-0.29
B14_8_SPENDSAVE	-0.20
B14_6_DOSAVE	0.20
CITY	0.09
EDU	0.06
WAGE	-0.29

Model

Dependent Variable: B7_PPP_NOW

Method: ML - Ordered Logit (Newton-Raphson / Marquardt steps)

Date: 02/04/26 Time: 14:03

Sample (adjusted): 1 1375

Included observations: 808 after adjustments

Number of ordered indicator values: 3

Convergence achieved after 6 iterations

Coefficient covariance computed using observed Hessian

Variable	Coefficient	Std. Error	z-Statistic	Prob.
B14_2_LOWERWAGE	-0.260572	0.100272	-2.598652	0.0094
B14_9_NOBIGSHOP	-0.488870	0.131702	-3.711936	0.0002
B14_6_DOSAVE	0.320442	0.102711	3.119836	0.0018
B3_ID_NOW	1.494939	0.146318	10.21706	0.0000
WAGE	-0.374145	0.083850	-4.462066	0.0000

Limit Points

LIMIT_2:C(6)	-0.367938	0.550190	-0.668746	0.5037
LIMIT_3:C(7)	1.912114	0.553310	3.455775	0.0005

Pseudo R-squared	0.196271	Akaike info criterion	1.407146
Schwarz criterion	1.447817	Log likelihood	-561.4871
Hannan-Quinn criter.	1.422763	Restr. log likelihood	-698.6022
LR statistic	274.2302	Avg. log likelihood	-0.694910
Prob(LR statistic)	0.000000		

Ending remarks

I am delighted for your attention.

Q & A?